

China in global digital trade governance: towards a development-oriented agenda?

YUJIA HE AND KA ZENG*

The role of emerging powers in global economic governance has received considerable scholarly attention, and China has become central to the debate on whether rising powers can bring game-changing impacts or largely maintain the status quo.¹ In light of the growing economic clout of the BRICS (Brazil, Russia, India, China and South Africa) countries relative to other developing countries, and China's great economic weight compared to the rest of the BRICS, recent literature highlights the potential for growing divergences between China and other developing countries, and the implications of these divergences for global governance.² This study contributes to this research agenda on the role of rising powers in global governance in relation to the important new area of digital trade.

China presents an important case in studying how emerging economies position themselves in the global governance of digital trade, which is comprised of both digitally ordered trade in goods and services (cross-border electronic commerce, commonly referred to as cross-border e-commerce) and digitally delivered trade (services delivered internationally through the internet or other networks).³ As a newly industrializing country, China had a relatively late start in digital development, yet it has evolved rapidly to become the world's second-largest digital

* The project that this article is part of was partially supported by the University of Kentucky OPVR CURATE Grant (Project Number: 809000036902) and the Southeastern Conference faculty travel award.

¹ Cornel Ban and Mark Blyth, 'The BRICS and the Washington Consensus: an introduction', *Review of International Political Economy* 20: 2, 2013, pp. 241–55, <https://doi.org/10.1080/09692290.2013.779374>; Eric Helleiner and Hongying Wang, 'Limits to the BRICS' challenge: credit rating reform and institutional innovation in global finance', *Review of International Political Economy*, 25: 5, 2018, pp. 573–95, <https://doi.org/10.1080/09692290.2018.1490330>; Scott Kennedy and Shuaihua Cheng, eds, *From rule-takers to rule-makers? The growing role of Chinese in global governance* (Bloomington, IN: Research Center for Chinese Politics & Business, Indiana University, 2012); Xiao Ren, 'A reform-minded status quo power? China, the G20, and reform of the international financial system', *Third World Quarterly* 36: 11, 2015, pp. 2023–43, <https://doi.org/10.1080/01436597.2015.1078232>; Ian Taylor and Zhangxi Cheng, 'China as a "rising power": why the status quo matters', *Third World Quarterly* 43: 1, 2022, pp. 244–58, <https://doi.org/10.1080/01436597.2021.2005462>; Hongying Wang and Erik French, 'China in global economic governance', *Asia Economic Policy Review* 9: 2, 2014, pp. 254–71, <https://doi.org/10.1111/aep.12068>.

² Mark Beeson and Jinghan Zeng, 'The BRICS and global governance: China's contradictory role', *Third World Quarterly* 39: 10, 2018, pp. 1962–78, <https://doi.org/10.1080/01436597.2018.1438186>; Kristin Hopewell, 'How China lost its wolf pack: the fracturing of the emerging-power alliance at the WTO', *International Affairs* 98: 6, 2022, pp. 1915–35, <https://doi.org/10.1093/ia/iiaa216>; Till Schöfer and Clara Weinhardt, 'Developing-country status at the WTO: the divergent strategies of Brazil, India and China', *International Affairs* 98: 6, 2022, pp. 1937–57, <https://doi.org/10.1093/ia/iiaa227>.

³ UN Trade and Development (UNCTAD), *Digital trade: opportunities and actions for developing countries* (Geneva: UNCTAD, 2019), https://unctad.org/system/files/official-document/presspb2021d10_en.pdf. (Unless otherwise noted at point of citation, all URLs cited in this article were accessible on 3 July 2024.)

economy behind the United States. Initially taking a cautious approach to the inclusion of digital trade in trade negotiations, in recent years China has demonstrated proactive participation in trade governance regimes such as the World Trade Organization (WTO). Meanwhile, Chinese tech companies have ventured forth globally, expanding into other developing countries with strong business growth. China's interests and actions in digital trade governance thus have major implications for global digital trade development. A solid understanding of China's behaviour can provide the basis for additional comparative analysis, and can illuminate potential opportunities and challenges in global digital trade governance.

This article addresses the following research questions. First, how can we better understand the role of China in global digital trade governance? Second, as a self-proclaimed leader of the developing world in digital development, to what extent do China's preferences and negotiation approach align with the interests of other developing countries? We define 'developing countries' broadly to include emerging economies such as the BRICS as well as those states categorized as least developed countries (LDCs). The study finds that China's dual identity as both a self-identified developing country and a rising power has contributed to its *strategic ambivalence* in digital trade negotiations. On the one hand, China rhetorically positions itself as championing the interests of the developing world and supporting a development-oriented approach to digital trade governance. Such a stance, broadly consistent with its domestic interests to preserve digital sovereignty and promote digital economy development, has led the Chinese government to share policy preferences with other developing countries on preserving domestic policy autonomy over digital trade governance. On the other hand, however, Beijing's interest in facilitating Chinese firms' overseas expansion also means that its position increasingly diverges from other developing countries on issues such as the moratorium on customs duties on electronic transmissions and the taxation of multinational digital firms. As a result of such strategic ambivalence arising from the 'development vs growth' paradox, China's negotiation approach and coalition patterns have demonstrated considerable fluidity and malleability in a way that reflects its varying interest alignment with partner countries on key issues. Its nuanced view of what constitutes a development-oriented agenda has exacerbated its difficulty in maintaining a coherent position *vis-à-vis* other developing countries, further compounding the global North–South divide and impeding the potential for effective cooperation to reshape global digital trade governance.

Existing literature on the behaviour of rising powers such as the BRICS in global trade governance has yielded inconclusive evidence about their role and impact. On the one hand, despite disparities in their interests, studies show that the BRICS countries have frequently cooperated to form strong coalitions in multilateral trade negotiation forums such as the WTO. Their relatively high level of unity has further enabled them to effectively challenge the major powers, rendering the North–South conflict the major line of battle in the Doha Round negotiations.⁴ On the other hand, other studies have highlighted the competition among

⁴ Kristin Hopewell, 'The BRICS—merely a fable? Emerging power alliances in global trade governance', *Inter-*

rising powers, showing that, while China has positioned itself as the ‘champion of the developing world’,⁵ the divergences between the domestic political economy of China and other emerging powers have led to different interests and preferences, limiting the potential for emerging countries to proactively reshape global economic governance.⁶ In illuminating the points of convergence and dissension between China and other developing countries in digital trade negotiations, our study lends stronger support to the latter view, showing that while China is poised to play an important role in shaping trade negotiations in an area where rules and norms are being established, pragmatic considerations about what constitutes China’s main commercial interests have led the Chinese leadership to take an issue-based approach in a way that minimizes the costs of international cooperation to its domestic development agenda.⁷ Such a pragmatic and issue-based negotiation approach may therefore limit China’s ability to engage in effective coalition-building or to lead the negotiations of new global rules governing digital trade.

The study further expands current analyses on China’s digital trade governance which emphasize its tensions with advanced economies.⁸ Our study shows that while China’s regulatory approach towards internet governance departs fundamentally from that of advanced economies, China’s interest in promoting its tech sector has inadvertently led to convenient agreement with the United States on some key issues that leave other developing countries unsatisfied. Instead of fundamentally reshaping global governance,⁹ China’s approach can be seen as focusing on more incremental changes within existing governance frameworks and selectively engaging the agendas pushed by other major developing countries.

Literature review and argument

Multilateral and regional trade negotiations represent important—though not the only—arenas of global governance over digital trade.¹⁰ By the 2010s, large American tech firms have stepped up efforts to urge the US government to tackle

national Affairs 93: 6, 2017, pp. 1377–96, <https://doi.org/10.1093/ia/iix192>; Amrita Narlikar, ‘New powers in the club: the challenges of global trade governance’, *International Affairs* 86: 3, 2010, pp. 717–28, <https://doi.org/10.1111/j.1468-2346.2010.00907.x>; Rorden Wilkinson, ‘Back to the future: “retro” trade governance and the future of the multilateral order’, *International Affairs* 93: 5, 2017, pp. 1131–47, <https://doi.org/10.1093/ia/iix158>.

⁵ Niall Duggan, ‘China—the champion of the developing world: a study of China’s new development model and its role in changing global economic governance’, *Politics & Policy* 48: 5, 2020, pp. 836–58, <https://doi.org/10.1111/polp.12377>.

⁶ Bas Hooijmaaijers, ‘China, the BRICS, and the limitations of reshaping global economic governance’, *Pacific Review* 34: 1, 2021, pp. 29–55, <https://doi.org/10.1080/09512748.2019.1649298>; Amrita Narlikar, ‘Negotiating the rise of new powers’, *International Affairs* 89: 3, 2013, pp. 561–76, <https://doi.org/10.1111/1468-2346.12033>.

⁷ Shaun Breslin, ‘China and the global order: signaling threat or friendship?’, *International Affairs* 89: 3, 2013, pp. 615–34, <https://doi.org/10.1111/1468-2346.12036>; Wei Liang and Ka Zeng, ‘China and the BRICS in WTO e-commerce and fisheries negotiations: competition and convergence’, in Henry Gao, Damian Raess and Ka Zeng, eds, *China and the WTO: a twenty-year assessment* (Cambridge, UK: Cambridge University Press, 2023), pp. 227–51.

⁸ Henry Gao, ‘Digital or trade? The contrasting approaches of China and US to digital trade’, *Journal of International Economic Law* 21: 2, 2018, pp. 297–321, <https://doi.org/10.1093/jiel/jgy015>; Shamel Azmeh, Christopher Foster and Jamie Echavarri, ‘The international trade regime and the quest for free digital trade’, *International Studies Review* 22: 3, 2020, pp. 671–92, <https://doi.org/10.1093/isr/vizo33>.

⁹ Joseph E. Stiglitz, ‘The next Bretton Woods’, Project Syndicate, 6 Nov. 2008, <https://www.project-syndicate.org/commentary/the-next-bretton-woods>.

¹⁰ Azmeh et al., ‘The international trade regime and the quest for free digital trade’, pp. 678–80.

barriers to their businesses and promote the liberalization of digital trade through both the WTO and regional and bilateral trade agreements.¹¹ The United States undertook a market-based approach towards digital trade governance, emphasizing free data flows; prohibiting data localization requirements, mandatory sharing of source codes and other trade secrets, or local partnerships or local technology requirements to gain market access; reducing cross-national regulatory divergences; and minimizing the influence that considerations about privacy or consumer protection may have on trade rules.¹²

It is therefore unsurprising that discussions around countries' digital trade policy preferences have often centred on the divergence of interests between the US-led global North and the global South.¹³ Developed countries broadly share an interest in market liberalization, but concerns stemming from issues such as the dominance of American digital firms or different preferences with respect to the pace of market liberalization have led to some contrasting positions. For example, while favouring the liberalization of barriers to cross-border data flows, the European Union prioritizes the protection of consumer privacy and information and favours stronger discipline on internet taxation to regulate multinational corporations more effectively.¹⁴ Meanwhile, developing countries have strongly opposed US-led efforts to negotiate new binding rules, instead preferring 'soft rules' that preserve domestic policy autonomy and 'best endeavours' in accordance with their level of development.¹⁵

Among the global South countries, China presents a truly interesting case-study. On the one hand, China's model of data governance departs fundamentally from those of the United States and the EU due to respective differences in domestic regulatory approaches,¹⁶ driven by an emphasis on both its security and economic development interests.¹⁷ The internet in China has been subject to stringent government regulation of both the hardware and the content transmitted online. Chinese laws have imposed data and facilities localization requirements, such as requiring operators of critical information infrastructure to store data within China. Most cloud computing services are regulated as 'value-added

¹¹ Azmeh et al., 'The international trade regime and the quest for free digital trade', p. 684.

¹² Rachel F. Fefer, *Internet regimes and WTO e-commerce negotiations* (Washington DC: Congressional Research Service, 2020).

¹³ Ying Chen and Yuning Gao, 'Comparative analysis of digital trade development strategies and governance approaches', *Journal of Digital Economy* 1: 3, 2022, pp. 227–38, <https://doi.org/10.1016/j.jdec.2023.02.001>; Deborah James, 'Anti-development impacts of tax-related provisions in proposed rules on digital trade in the WTO', *Development*, vol. 62, 2019, pp. 58–65, <https://doi.org/10.1057/s41301-019-00205-4>; Vahini Naidu, 'Knowledge production in international trade negotiations is a high stakes game', *Africa at LSE*, 14 June 2019, <https://blogs.lse.ac.uk/africaatlse/2019/06/14/knowledge-production-international-trade-digital>.

¹⁴ Rachel F. Fefer, *EU digital policy and international trade* (Washington DC: Congressional Research Service, 2021).

¹⁵ Jane Kelsey, 'The risk for ASEAN of new mega-agreements that promote the wrong model of e-commerce', in Lurong Chen and Fukunari Kimura, eds, *Developing the digital economy in ASEAN* (New York: Routledge, 2019), pp. 56–90; Karishma Banga, Jamie MacLeod and Max Mendez-Parra, *Digital trade provision in the AfCFTA: what can we learn from South–South trade agreements?* (Addis Ababa: United Nations Economic Commission for Africa, 2021), <https://repository.uneca.org/handle/10855/43949>.

¹⁶ Henry Gao, 'Data regulation in trade agreements: different models and options ahead', in Maarten Smeets, ed., *Adapting to the digital trade era: challenges and opportunities* (Geneva: World Trade Organization, 2021), pp. 323–35, https://ink.library.smu.edu.sg/cgi/viewcontent.cgi?article=5309&context=sol_research.

¹⁷ People's Republic of China, Ministry of Foreign Affairs, 'China's positions on global digital governance', 25 May 2023.

telecommunications services', so that foreign-invested enterprises must partner with Chinese firms for licensing and service delivery, and physically build cloud infrastructure in China.¹⁸ China conducts extensive online censorship of internet traffic through a national 'Great Firewall', which the US has labelled a protectionist trade barrier.¹⁹ Furthermore, China has imposed security reviews on tech companies after the Edward Snowden surveillance disclosures of 2013, and companies like IBM and Microsoft have allowed China to review proprietary source code.²⁰ Chinese regulation shares similarities with that of the EU on issues such as personal data protection, yet it prioritizes regulating consumer data use by internet companies (both Chinese and foreign) and preventing cybercrime, instead of data collection and use by the state.²¹

Meanwhile, most developing countries, such as India, South Africa and Indonesia, seek to maintain domestic policy autonomy and regulatory capacity on data and the digital economy, for reasons that are varied and not mutually exclusive—national security and intelligence,²² public interests such as privacy and consumer protection, development interests to pursue digital policy that benefits capacity-building and technological catch-up,²³ and as a remedy against 'data colonialism'.²⁴ Shared interests in maintaining domestic policy space have led China's position to converge with those of other developing countries on key regulatory issues concerning cross-border data, technology and source code access.

On the other hand, however, the rapid growth of Chinese tech firms has generated incentives for Beijing to facilitate their global expansion. As this study shows, Chinese internet firms have pushed for narratives that carefully straddle the growth imperative benefiting all tech firms' consolidation of market power *and* the development imperative to set themselves apart from their western competitors and appeal to developing country markets. These narratives bear a strong resemblance to China's nuanced approach to digital trade negotiations. On issues such as the moratorium of customs duties on electronic transmissions and the cross-border taxation of internet companies, China has either sided with the advanced economies or stayed silent on proposals to fundamentally reform the existing

¹⁸ Su Chang and Li Zhenghao, 'Accessing the China cloud service market', King & Wood Mallesons, 4 Aug. 2022, <https://www.lexology.com/library/detail.aspx?g=4bb366c4-868f-415f-9a0e-d15253d59aa3>.

¹⁹ Susan Shirk, Bethany Allen and Emily Parker, 'It's official: Washington thinks Chinese internet censorship is a "trade barrier"', *Foreign Policy*, 14 April 2016, <https://foreignpolicy.com/2016/04/14/chinese-censorship-trade-barrier-great-firewall-ustr-business-trade-internet>.

²⁰ Theodore H. Moran, 'Should US tech companies share their "source code" with China?', Peterson Institute of International Economics, 28 Oct. 2015, <https://www.piie.com/blogs/china-economic-watch/should-us-tech-companies-share-their-source-code-china>.

²¹ Simon Abendin and Pingfang Duan, 'Global e-commerce talks at the WTO: positions on selected issues of the United States, European Union, China, and Japan', *World Trade Review* 20: 5, 2021, pp. 707–24, <https://doi.org/10.1017/S14747474562100094>; Rogier Creemers, 'China's emerging data protection framework', *Journal of Cybersecurity* 8: 1, 2022, <https://doi.org/10.1093/cybsec/tyac011>.

²² John Selby, 'Data localization laws: trade barriers or legitimate responses to cybersecurity risks, or both?', *International Journal of Law and Information Technology*, 25: 3, 2017, pp. 213–32, <https://doi.org/10.1093/ijlit/eax010>.

²³ Christopher Foster and Shamel Azmeah, *Aligning digital and industrial policy to foster future industrialization* (UN International Development Organization, 2023), <https://www.unido.org/sites/default/files/unido-publications/2023-05/IIID%20Policy%20Brief%204%20-%20Aligning%20digital%20and%20industrial%20policy%20-%20FINAL.pdf>.

²⁴ Arindrajit Basu, Ellonai Hickok and Aditya Singh Chawla, *The localisation gambit: unpacking policy measures for sovereign control of data in India* (Bengaluru: Centre for Internet and Society, 2019), <https://cis-india.org/internet-governance/resources/the-localisation-gambit.pdf>.

system that benefits developed countries. This, in turn, has set China apart from other BRICS countries, namely India and South Africa, as well as LDCs that have taken a more confrontational stance towards plurilateral negotiations driven by the advanced economies.²⁵ Paradoxically, the convergence of the corporate interests of internet companies has resulted in an alignment of convenience between China and the United States on such issues.

Table 1: China's approach in digital trade negotiations *vis-à-vis* other developing countries

<i>Issue</i>	<i>China's positions</i>	<i>Developing country coalitions</i>	<i>Developed country positions</i>	<i>Forums</i>
Convergences				
Data localization	Favours national policy autonomy	Most developing countries (BRICS and LDCs)	Generally opposed to national restrictive measures including data localization and mandatory disclosure/transfer of technology, with limited exceptions	JSI; G20; RCEP
Mandatory disclosure/transfer of technology	Favours national policy autonomy	Most developing countries (BRICS and LDCs)		JSI; G20; RCEP
Divergences				
Legitimacy of plurilateral negotiation processes	Participates in negotiations to influence the rule-making process	Some participate in negotiations, while others (India, South Africa, LDCs) oppose	Participate in negotiations	JSI; G20
Moratorium on customs duties on digital transmissions	Favours an extension	Call for a rethink, or oppose the moratorium	Favour permanent moratorium	JSI; RCEP
Cross-border taxation of internet companies	Unclear position on taxing rights redistribution; supports new global tax rules based on consensus; opposes unilateral national tax	Call for fundamental reforms of taxing rights and more developing-country participation in negotiations; some impose unilateral digital tax	US favours global tax rules that minimize the burdens on firms, opposes digital tax regimes; EU favours more stringent regulations; some countries impose digital tax	G20

Note: JSI = WTO E-commerce Joint Statement Initiative; RCEP = Regional Comprehensive Economic Partnership (see below.)

²⁵ Jane Kelsey, 'The illegitimacy of Joint Statement Initiatives and their systemic implications for the WTO', *Journal of International Economic Law*, 25: 1, 2022, pp. 2–24, <https://doi.org/10.1093/jiel/jgac004>.

Table 1 sets out the points of convergence and divergence in the negotiation approaches of China *vis-à-vis* developing countries and the observed coalitional patterns in global digital trade governance.

Methodology

The study adopts a case-study approach that enables an in-depth exploration of the complex phenomenon of rising powers' digital trade governance participation. China was chosen as an important or critical case,²⁶ as it is the world's second-largest digital economy with growing influence in digital trade governance which at the same time proclaims itself as a champion of the developing world. A comprehensive analysis of China's role and position is indispensable to our understanding of the dynamics of global digital trade governance and the potential for cooperation in this area. Specifically, the article examines three sub-cases of China's participation in trade governance regimes – the WTO E-commerce Joint Statement Initiative (JSI), the G20-led digital economy development and taxation initiatives, and the Regional Comprehensive Economic Partnership (RCEP) free trade agreement. We choose to focus on these cases because they entail three different negotiation forums which allow China to influence the process of international rule-making over digital trade governance. As they constitute the main venues where the bulk of global digital trade negotiations involving both developed and developing countries take place, focusing on these cases allows for an in-depth analysis of the negotiation dynamics. While these forums differ in their membership and the scope of issue coverage, they each provide opportunities for China to shape digital trade rules and maximize its influence and, as such, are mutually reinforcing and complementary.

Data was collected through a systematic review of trade journals, news articles, scholarly literature, documents (such as official documents and government policies), and speeches from government officials and business leaders. Data analysis was performed concurrently with data collection to compare the findings of the cases against the initial statements derived from the literature review.

China's participation in WTO JSI negotiations

The regulation of trade in a rapidly digitalizing era has become increasingly salient in WTO negotiations. WTO members initially adopted the *Declaration on global electronic commerce* and the Work Programme on electronic commerce at the second WTO ministerial conference in May 1998. Negotiations have gained further momentum under the aegis of the e-commerce JSI since 2017.²⁷ As of June 2024,

²⁶ Laura Roselle, Sharon Spray and Joel T. Shelton, *Research and writing in International Relations* (New York: Routledge, 2020), p. 71.

²⁷ Yasmin Ismail, *E-commerce in the World Trade Organization: history and latest developments in the negotiations under the Joint Statement* (Geneva: International Institute for Sustainable Development and CUTS International, 2020), <https://www.iisd.org/system/files/publications/e-commerce-world-trade-organization-.pdf>.

91 WTO members have participated in the plurilateral JSI negotiations,²⁸ while India, South Africa and LDCs as represented by the Africa Group have stayed out of the talks.

Position of the major players

While not necessarily the main drivers of the JSI agenda, the United States and the EU play important roles in shaping the negotiation process. The US sought to pursue a market-driven, high-standard agreement that would extend the commitments in the original Trans-Pacific Partnership agreement (superseded by the Comprehensive and Progressive Agreement for Trans-Pacific Partnership—CPTPP—and later refined in the United States–Mexico–Canada Agreement—USMCA). The US proposal in 2019 reiterated its longstanding positions of protecting cross-border data flow, preventing data localization and web blocking, providing fair treatment of digital products, protecting proprietary information, including source code, and prohibiting forced technology transfer, ensuring digital security and facilitating internet services.²⁹ The administration of President Joe Biden, however, recently suspended support for these provisions and is reportedly developing new proposals for WTO negotiations, as domestic legislations on issues such as data privacy were under debate in Congress.³⁰ The EU similarly encourages developing global trade rules to promote cross-border data flows and prohibit data localization requirements. Concerned about personal privacy, the EU proposal calls for the protection of ‘personal data and privacy, including through the adoption and application of rules for the cross-border transfer of data’³¹—exceptions that may potentially undercut commitments to cross-border data flows.

Initially wary of participating in the e-commerce JSI, China joined the second Joint Statement in 2019. Its position emphasizes upholding the development dimension of the negotiation and opposes rules designed to prohibit national control over data and digital products. To promote its own development experiences and negotiations ‘in the spirit of solidarity’, China sponsored the ‘Workshop on E-commerce for Development under the Multilateral Trading System’ and joined the ‘Friends of E-Commerce for Development’ (FED) group in 2017.³² In

²⁸ World Trade Organization, ‘Joint Initiative on E-commerce’, https://www.wto.org/english/tratop_e/ecom_e/joint_statement_e.htm.

²⁹ World Trade Organization, *Joint statement on electronic commerce initiative: communication from the United States*, INF/ECOM/5, 25 March 2019, <https://docs.wto.org/dol2fe/Pages/SS/directdoc.aspx?filename=q:/INF/ECOM/5.pdf>.

³⁰ Gopal Ratnam, ‘Democrats divided over Biden’s move on digital trade’, *Roll Call*, 5 Dec. 2023, <https://rollcall.com/2023/12/05/democrats-divided-over-bidens-move-on-digital-trade>.

³¹ World Trade Organization, *Joint statement on electronic commerce: communication from the European Union*, INF/ECOM/22, 15 Oct. 2019, <https://docs.wto.org/dol2fe/Pages/SS/directdoc.aspx?filename=q:/INF/ECOM/43.pdf>.

³² Argentina, Chile, Colombia, Costa Rica, Kenya, Mexico, Nigeria, Pakistan, Sri Lanka and Uruguay were founder members of the FED grouping in 2017, sharing interests in leveraging the potential of e-commerce to foster economic growth, narrow the digital divide, and promote long-term digital trade development for LDCs. See World Trade Organization, *Joint statement on electronic commerce: communication from China*, INF/ECOM/19, 24 April 2019, <https://docs.wto.org/dol2fe/Pages/SS/directdoc.aspx?filename=q:/INF/ECOM/19.pdf>, p. 3.

its communications to WTO members in April 2019, China highlighted the need to create a sound environment for e-commerce transactions through the adoption of paperless trading, electronic signatures and electronic authentication, electronic contracts and so on.³³ China additionally called for stringent consumer protection and personal information regulations to create a 'safe and trust-worthy market environment'.³⁴ China emphasized the need for 'more exploratory discussions' on issues such as data flow, data storage and treatment of digital products before they could be brought into negotiations, due to the 'complexity and sensitivity' of the issues and divergent views among member countries, and insisted that free flow of data should be based on the precondition of security and 'in compliance with Members' respective laws and regulations'.³⁵

China vs developing countries

China's interests in upholding national governments' ability to regulate the internet are broadly in line with developing countries' interests in maintaining domestic policy autonomy. Countries such as Indonesia, the Philippines, Côte d'Ivoire and Burkina Faso, which were a part of the JSI talks, highlighted the importance of developing rules and principles that take into consideration developing countries' implementation capacities.³⁶ India, South Africa and many LDCs which did not join the JSI talks insisted that negotiation of trade rules should not impinge on their domestic policy autonomy and ability to promote domestic industrial development. China's position on two key regulatory issues illustrates such a broad alignment.

First, China and many other developing countries have similar policy preferences on data localization. In 2022, 39 countries, including major emerging economies such as Russia, India and South Africa, had domestic data localization mandates which required data to be stored or processed within a country's border.³⁷ Similar to China, considerations about national security and intelligence,³⁸ access to information for regulatory reach, personal data privacy protection and the promotion of domestic industries have shaped these countries' interests.³⁹ Data localization policies put them into conflict with the United States, which views such restrictions as impeding digital flows and the ability of US companies to conduct business internationally; and, to a certain extent, with the EU, which only supports exceptions for the protection of data privacy.⁴⁰

³³ World Trade Organization, *Joint statement on electronic commerce: communication from China*.

³⁴ World Trade Organization, *Joint statement on electronic commerce: communication from China*, p. 3.

³⁵ World Trade Organization, *Joint statement on electronic commerce: communication from China*, p. 4.

³⁶ Arindrajit Basu, 'Can the WTO build consensus on digital trade?', Hinrich Foundation, 5 Oct. 2021, <https://www.hinrichfoundation.com/research/article/wto/can-the-wto-build-consensus-on-digital-trade>.

³⁷ Javier López González, Francesca Casalini and Juan Porras, *A preliminary mapping of data localisation measures* (Paris: OECD, 2022), <https://doi.org/10.1787/c5ca3fed-en>.

³⁸ Selby, 'Data localization laws'.

³⁹ González et al., *A preliminary mapping of data localisation measures*, p. 6.

⁴⁰ Basu, 'Can the WTO build consensus on digital trade?'.

Second, China also shares an interest with other developing countries in maintaining the government's ability to require access to technology, including mandates on local partnerships or technology transfer, and access to encryption keys and source code. For example, government-mandated source code disclosure gives public authorities the ability to access and examine the lines of code of software in products and services. The rationale for such mandates may include regulatory or legal compliance (e.g. competition, equality, data protection or product safety), meeting the procurement needs of the public sector, and promoting innovation and economic development.⁴¹ The US and other developed countries like Japan and Australia support general prohibitions on source code disclosure through trade agreements with very limited public policy exceptions.⁴² In contrast, LDCs argue that restrictions on mandatory disclosure negatively affect knowledge and technology transfer and constrain their ability to deal with cybersecurity threats and the socio-economic impact of decision-making regarding algorithms.⁴³

Yet there are also important divergences. The first key divergence concerns the legitimacy of the JSI itself. While China has come round from its initial hesitancy to become an active participant, India, South Africa and LDCs as represented by the Africa Group have strongly resisted negotiating binding rules on e-commerce trade through the JSI, arguing that the focus on negotiating binding rules could potentially lead to the marginalization of developing countries. India and South Africa also argued that, as a plurilateral negotiation process involving limited memberships, the JSI could undermine the integrity of the multilateral trading system, and that the negotiations needed to be more inclusive and development-oriented.⁴⁴ Other emerging economies and LDCs similarly pushed back against negotiating new rules on e-commerce, though some joined the JSI later. The opposing countries argued that the JSI negotiation could not be considered valid without the participation of the entire WTO membership, and that a plurilateral trade agreement should be negotiated outside the WTO.⁴⁵ LDCs were also concerned that their lack of the requisite domestic legal and regulatory frameworks may hinder their ability to effectively deal with international obligations and that the JSI would undermine negotiations of the unsolved issues under the Doha Development Agenda.

While the JSI participants managed to produce a consolidated negotiating text in December 2020,⁴⁶ India and South Africa, joined by LDCs, pushed for a parallel

⁴¹ Cosmina Dorobantu, Florian Ostmann and Christina Hitrova, 'Source code disclosure: a primer for trade negotiators', in Ingo Borchert and L. Alan Winters, eds, *Addressing impediments to digital trade* (Paris and London: CEPR Press, 2021), pp. 105–40.

⁴² Dorobantu et al., 'Source code disclosure', pp. 122–33.

⁴³ World Trade Organization, *WTO electronic commerce negotiations: consolidated negotiating text—December 2020*, INF/ECOM/62/Rev. 1, 14 Dec. 2020, https://www.bilaterals.org/IMG/pdf/wto_plurilateral_ecommerce_draft_consolidated_text.pdf.

⁴⁴ World Trade Organization, *Work programme on electronic commerce: moratorium on customs duties on electronic transmissions: need for a re-think—Communication from India and South Africa*, WT/GC/W/747, 12 July 2018, <https://docs.wto.org/dol2fe/Pages/SS/directdoc.aspx?filename=q:/WT/GC/W747.pdf>.

⁴⁵ World Trade Organization, *The legal status of 'Joint Statement Initiatives' and their negotiated outcomes*, WT/GC/W/819, 19 Feb. 2021, <https://docs.wto.org/dol2fe/Pages/SS/directdoc.aspx?filename=q:/WT/GC/W819.pdf>, pp. 7–8.

⁴⁶ World Trade Organization, *WTO electronic commerce negotiations: consolidated negotiating text—December 2020*.

track under the Work Programme on electronic commerce, leading discussions on a few cross-cutting issues in July 2021.⁴⁷ To counter the efforts by the US and other advanced economies to negotiate a substantial agreement at the twelfth WTO ministerial conference, India and South Africa submitted another joint paper at the end of 2021, calling for the inclusive development of global e-commerce.⁴⁸ By the time of the thirteenth ministerial conference in March 2024, JSI negotiations had made notable progress in completing draft articles on 13 issues, with the result of reaching an agreement by the end of 2024.⁴⁹ However, India and South Africa continued to object to any plurilateral negotiations taking place under the WTO umbrella.

The second key point of divergence concerns the WTO e-commerce moratorium, a ban on the charge of duties on electronic transmissions. As the only concrete rules on e-commerce reached under the WTO framework, the moratorium on customs duties on electronic transmissions, such as the sales and import of software, e-books, videogames, music and movie streaming, has been extended temporarily at every ministerial conference since 1998. Developed countries favour making the moratorium permanent, arguing that the benefits to trade and economic growth far outweigh the costs associated with the revenue losses. China similarly favours an extension of the moratorium. In a communication submitted to the WTO together with several other member countries, China stated that 'the overall benefits' of duty-free electronic transmissions 'outweigh the potential forgone government revenues' from the moratorium.⁵⁰ This has led trade envoys of India and South Africa to remark, off the record, that 'the developed countries and China want to turn a deaf ear to the glaring asymmetries and inequalities stemming from e-commerce to continue their monopoly grip on digital trade'.⁵¹

The moratorium extension encountered strong resistance from other developing countries out of concern for potential development implications. For example, at the eleventh ministerial conference in 2017, Indonesia argued that the term 'electronic transmissions' pertains only to the carrier (electronic versus physical transmission) and not to the content (the goods being transmitted). Its request to have this understanding introduced to the moratorium was not successful. Nevertheless, Indonesia introduced a tariff for electronically transmitted intangible goods and/or services while keeping the most-favoured-nation tariff rate at

⁴⁷ Basu, 'Can the WTO build consensus on digital trade?.'

⁴⁸ Amiti Sen, 'At WTO, India and South Africa call for inclusive development of global e-comm', *The Hindu Business Line*, 10 Nov. 2021, <https://www.thehindubusinessline.com/news/national/at-wto-india-and-south-africa-call-for-inclusive-development-of-global-e-comm/article37426016.ece>.

⁴⁹ David E. Bond, Richard Eglin, Neeraj Rajan Sabitha and Ian Saccomanno, 'WTO extends e-commerce tariff moratorium as broader negotiations continue', *White & Case*, 7 March 2024, <https://www.whitecase.com/insight-alert/wto-extends-e-commerce-tariff-moratorium-broader-negotiations-continue>.

⁵⁰ World Trade Organization, *Work programme on electronic commerce: broadening and deepening the discussions on the moratorium on imposing customs duties on electronic transmissions—Communication from Australia; Canada; Chile; Colombia; Hong Kong; China; Iceland; Republic of Korea; New Zealand; Norway; Singapore; Switzerland; Thailand and Uruguay*, WT/GC/W/799/Rev.1, 2020, 29 June 2020, https://docs.wto.org/dol2fe/Pages/FE_Search/FE_S_Soo6.aspx?FullTextHash=1&MetaCollection=WTO&SymbolList=%22WT/GC/W/799/Rev.1%22.

⁵¹ D. Ravi Kanth, 'India, South Africa challenge continuing moratorium on e-com duties', *Third World Network*, 30 Nov. 2018, <https://www.twn.my/title2/wto.info/2018/ti181120.htm>.

zero.⁵² The rationale for administering customs duties includes the need to record trade flows, create a level playing field between digitally transmitted goods and goods sold through bricks-and-mortar stores, support domestic creative industries and micro-, small- and medium-sized enterprises, provide certainty in the customs procedure and retain the ability to assess the risks of contents delivered to society.⁵³

While staying out of the JSI negotiations, India and South Africa submitted a couple of proposals to the WTO between 2018 and 2020 detailing the negative impact of the moratorium on the use of tariffs as a critical trade policy instrument and emphasizing the need for a 're-think' of the impact of the moratorium on customs and other sources of revenue.⁵⁴ At the twelfth ministerial conference in 2022, the two countries, along with Indonesia, Sri Lanka and Pakistan, further threatened to block the extension of the moratorium, arguing that the costs of the moratorium fall disproportionately on developing countries.⁵⁵

Overall, China and other developing countries share common perspectives in preserving national policy autonomy out of security and economic interests and are aligned in their reluctance to acquiesce to prohibitions of data localization, data flow regulations and mandatory access to or transfer of technology. However, compared to China's more active stance, many developing countries have been much more reluctant to endorse plurilateral JSI negotiations and new binding global trade rules that limit their domestic policy autonomy. As the domestic digital economy of such countries is generally in its infancy, issues such as customs duties on electronic transmissions are especially salient to them and have become a contentious point with both the advanced economies and China. These divergent preferences, not just between the North and the South, but also among the global South, have impeded the ability of member countries to form effective coalitions to reach an agreement.

China's participation in G20 initiatives

Comprised of 19 major developed and developing countries and the European Union, the G20 group of countries provides another forum for international economic governance and for state leaders to address issues in global digital trade.

⁵² Eisy A. Eloksari, 'Indonesia taxes tech companies through new regulation', *The Jakarta Post*, 1 April 2020, <https://www.thejakartapost.com/news/2020/04/01/indonesia-taxes-tech-companies-through-new-regulation.html>.

⁵³ Achmad Hidayat, Yoko Agustwen Shinta Uli Nainggolan and Gilang Rizki Pamutra, 'Indonesia's perspective on World Trade Organization (WTO) moratorium on customs duties on electronic transmission: a brief review of literature', *Jurnal Pajak Dan Keuangan Negara* 4: 2, 2023, pp. 462–7, <https://doi.org/10.31092/jpkn.v4i2.1907>.

⁵⁴ World Trade Organization, *Work programme on electronic commerce: moratorium custom duties on electronic transmissions: need for a re-think*; World Trade Organization, *Work programme on electronic commerce: the e-commerce moratorium: scope and impact—Communication from India and South Africa*, WT/GC/W/798, 10 March 2020, https://docs.wto.org/dol2fe/Pages/FE_Search/FE_S_Soo6.aspx?MetaCollection=WTO&SymbolList=%22WT%2fGC%2fW%2f798%22+OR+%22WT%2fGC%2fW%2f798%2f*%22&Language=ENGLISH&SearchPage=F&E_S_Sooi&languageUICChanged=true#.

⁵⁵ Philip Blenkinsop and Emma Farge, 'Global tech on edge as WTO weighs e-commerce tariffs', Reuters, 15 June 2022, <https://www.reuters.com/technology/global-tech-edge-wto-weighs-e-commerce-tariffs-2022-06-15>.

China takes a consensus-based approach to the digitalization-related agenda in the G20, attempting to accommodate both the growth imperative pushed by developed country members and developing countries' concerns for development and domestic policy space. Digital economy was put high on the G20 agenda for the first time at the 2016 G20 summit in Hangzhou. As the host nation, China took the lead in establishing the G20 digital economy task force to seek consensus on the G20 Digital Economy Development and Cooperation Initiative.⁵⁶ The guiding principles of the resulting initiative, the first digital economy policy document to be endorsed by G20 leaders, recognized the value of 'innovation', an 'open and enabling business environment', and 'freedom of expression and the free flow of information, ideas, and knowledge', while also highlighting the 'importance of flexibility given the different concerns and priorities of members'.⁵⁷ China has emphasized the importance of maintaining developing countries' national policy autonomy over data and digital economy at the G20 and, together with the other BRICS countries, has underscored the importance of 'data for development'.⁵⁸

The G20 summits also saw the globalizing Chinese internet companies promoting themselves as viable partners for public-private partnerships. To appeal to developing-country players, Chinese internet firms employ narratives that straddle the growth imperative and the development imperative to set themselves apart from their western competitors. An example is the tech giant Alibaba, which is headquartered in Hangzhou. As the chairman of the Small and Medium Enterprise (SME) Development Task Force, a G20 advisory group, Jack Ma, then chair of the Alibaba Group, took advantage of the publicity offered by the 2016 Hangzhou summit and called for the establishment of an electronic world trade platform (eWTP), a private sector-led initiative seeking to emulate the functions of the WTO in facilitating trade through partnerships with governments. Employing a development-oriented narrative, Alibaba stated that the goal of the eWTP is to promote 'inclusive trade' and level the playing field for SMEs all over the world, and to spur job creation and economic development in countries that have not seen the fruits of globalization.⁵⁹ On the issue of data localization, in 2018 Alibaba announced that it would 'respect laws on data security and privacy' in every country, and backed India's regulation of that year on data localization, stating that Alibaba held 'a different view from other global companies and want[ed] that India have its independent data centres'.⁶⁰

⁵⁶ 'G20 Digital Economy Development and Cooperation Initiative delivered at 2016 Hangzhou summit renews impetus to global economy', *China Daily*, 28 Sept. 2016, https://www.chinadaily.com.cn/business/2016hangzhoug20/2016-09/28/content_26927065.htm.

⁵⁷ G20 China, *G20 Digital Economy Development and Cooperation Initiative*, 2016, http://www.g20chn.com/xwzx-English/sum_ann/201609/P020160912341422794014.pdf.

⁵⁸ Government of India, Ministry of External Affairs, 'Joint statement on BRICS leaders' informal meeting on the margins of G20 summit', 28 June 2019, <https://mea.gov.in/bilateral-documents.htm?dtl/31506/Joint+Statement+on+BRICS+Leaders+Informal+Meeting+on+the+margins+of+G20+Summit>.

⁵⁹ 'Ma's call for inclusive trade heard by G20, WTO', *Alizila*, 6 Sept. 2016, <https://www.alizila.com/mas-call-for-inclusive-trade-heard-by-g20-wto>.

⁶⁰ Mugdha Variyar, 'Alibaba backs data localisation in India', *Economic Times*, 20 Sept. 2018, <https://economictimes.indiatimes.com/small-biz/startups/newsbuzz/alibaba-backs-data-localisation-in-india/article-show/65869841.cms>.

Yet at the G20 there were also signs that China's interests were increasingly diverging from those of other developing countries that were directly confronting the liberalization agendas of developed country members. A key example is the 'Osaka Track', established by Japan at the 2019 G20 Osaka summit to provide impetus to the WTO JSI negotiations and promote international rulemaking on the digital economy.⁶¹ Japan proposed the Data Free Flow with Trust initiative, aiming to eliminate restrictions on cross-border data flows, with enhanced protection for personal information, intellectual property and cyber security. Japan reportedly circulated to all G20 countries a 'take-it-or-leave-it' text on digital trade before the summit, seeking their approval for the Osaka Track.⁶² Along with the United States, the EU and Australia, Japan pushed hard for plurilateral negotiations on digital trade, seeking to craft sweeping rules on data flows, prohibitions on data localization requirements and cloud computing.⁶³

Despite fundamental differences with the advanced economies over data localization, China joined the Osaka Track, together with Brazil and Russia. Meanwhile, three major developing country members, India, South Africa and Indonesia, boycotted the initiative, arguing that it overtly undermined the 'multilateral' principles of consensus-based decisions in global trade negotiations, and denied the policy space for digital industrialization in developing countries.⁶⁴ The three countries also refused to sign the resultant *Osaka Declaration on digital economy*.

The final G20 leaders' declaration, a positioning document to which all member countries agreed, was a product of compromise. In an apparent nod to the policy differences on data localization among developed and developing countries, the declaration noted that 'it is necessary that legal frameworks both domestic and international should be respected'. It acknowledged 'challenges related to privacy, data protection, intellectual property rights, and security' in cross-border data flows. With respect to WTO negotiations, the declaration reaffirmed 'the importance of the [1998] Work Programme on electronic commerce' at the WTO, addressing the concerns of India, Indonesia and South Africa as regards upholding multilateral principles.⁶⁵ Commenting on the WTO JSI on electronic commerce, it merely acknowledged the negotiation, but did not say that it would constitute WTO digital trade negotiations, which Japan and other developed countries originally hoped for.

The second key difference concerns international taxation in the digital sector, where China's stance diverges from other developing-country members which are calling for fundamental reforms. The G20 and OECD jointly launched a programme of reforms to global corporate tax rules in 2013 to tackle the problem of 'base erosion and profit shifting' (BEPS) strategies employed by multinational firms. At the direction of the G20, decision-making expanded to the Inclusive

⁶¹ G20, *Osaka Declaration on digital economy*, 2019, https://www.mofa.go.jp/policy/economy/g20_summit/osaka19/pdf/special_event/en/special_event_or.pdf.

⁶² D. Ravi Kanth, 'South countries reject "Osaka Track" legitimising e-com pluri-talks', Third World Network, 3 July 2019, <https://www.twm.my/title2/wto.info/2019/ti190707.htm>.

⁶³ Kanth, 'South countries reject "Osaka Track"'.
⁶⁴ Kanth, 'South countries reject "Osaka Track"'.
⁶⁵ G20, *G20 ministerial statement on trade and digital economy*, 2019, <https://www.mofa.go.jp/files/000486596.pdf>.

Framework. Negotiations under the G20/OECD Inclusive Framework on BEPS (known as the BEPS 2.0 project) launched in 2015 (membership of which had, by May 2024, grown to encompass more than 145 countries and jurisdictions)⁶⁶ devoted attention to tax challenges in the digital economy. Tech firms like Meta, Amazon and Google have been known to exploit gaps and mismatches in existing international tax rules and use offshore tax havens to pay the lowest effective tax rate.⁶⁷ In addition, because of their limited physical presence—hence no or limited tax liability in the market countries (countries where the tech firms have business activities and earn revenues)—digital firms were able to gain significant market share without paying significant tax.⁶⁸

Many developing countries do not yet have a sizeable ‘home-grown’ digital sector, and foreign firms penetrate the local market deeply. Therefore, they have strong interests in redistributing the rights to tax the digital firms to the countries where the sales take place, away from the home country or offshore tax havens that the firms utilize (known as Pillar One of the BEPS 2.0 solution). They also support the proposal to ensure that all large firms pay a minimum effective tax rate regardless of where they operate, to further prevent tax competition and tax avoidance (known as Pillar Two). Some developing countries, such as India and Indonesia, have also imposed a digital services tax. On this issue, they found alliances with European economies like France, which similarly had no domestic tech giants and sought to impose a national tax on foreign tech firms.⁶⁹ In response, the United States threatened to impose retaliatory tariffs on several European countries, as well as India and Turkey.⁷⁰

A deal was formalized in 2021 among all OECD and G20 member countries. Specifically, it reallocated some taxation rights over the top multinational enterprises from their home countries to the markets and set a global minimum corporate tax rate of 15 per cent for companies with revenue above €750 million.⁷¹ Yet the deal was largely a win for the US and tech businesses as it prevented governments from imposing new levies exclusively on digital firms, excluded medium-sized companies from taxation and made further negotiations with home countries on the fair distribution of tax practically difficult.⁷² In addition, LDCs that are not G20 members expressed frustration over their limited participation in

⁶⁶ OECD, ‘Members of the OECD/G20 Inclusive Framework on BEPS’, updated 28 May 2024, <https://www.oecd.org/en/topics/policy-issues/base-erosion-and-profit-shifting-beps.html>.

⁶⁷ Rasmus Corlin Christensen and Martin Hearson, ‘The new politics of global tax governance: taking stock a decade after the financial crisis’, *Review of International Political Economy*, 26: 5, 2019, pp. 1068–88, <https://doi.org/10.1080/09692290.2019.1625802>.

⁶⁸ Margarita Gelepathis and Martin Hearson, ‘The politics of taxing multinational firms in a digital age’, *Journal of European Public Policy*, 29: 5, 2022, pp. 708–27, <https://doi.org/10.1080/13501763.2021.1992488>.

⁶⁹ Mark Scott and Emily Birnbaum, ‘How Washington and big tech won the global tax fight’, *Politico*, 30 June 2021, <https://www.politico.eu/article/washington-big-tech-tax-talks-oecd>.

⁷⁰ David Lawder, ‘U.S. sets and suspends tariffs on six countries over digital taxes’, *Reuters*, 2 June 2021, <https://www.reuters.com/technology/us-sets-suspends-tariffs-six-countries-over-digital-taxes-2021-06-02>.

⁷¹ Julie McCarthy, *A bad deal for development: assessing the impacts of the new inclusive framework tax deal on low- and middle-income countries*, Brookings, 2022, <https://www.brookings.edu/articles/a-bad-deal-for-development-assessing-the-impacts-of-the-new-inclusive-framework-tax-deal-on-low-and-middle-income-countries>, p. 6.

⁷² Apoorva Lalwani, ‘OECD’s global tax deal: its impact on India and the way forward’, Observer Research Foundation, 24 June 2021, <https://www.orfonline.org/expert-speak/oecd-global-tax-deal>.

the negotiations and various inequities embedded in the negotiation process and outcome. Kenya, Nigeria, Pakistan and Sri Lanka refused to sign on to the deal.⁷³

On international tax governance, China initially outlined its position in 2013 supporting the shifting of taxing rights towards countries in both the manufacturing and retail stages of global value chains, a position welcomed by other developing countries. This was driven by China's concern that it should have more rights to tax multinational firms which took advantage of China's manufacturing capabilities and large consumer market in their Chinese operations.⁷⁴ China did not face significant challenges in terms of taxing foreign digital firms providing services in China, as foreign digital firms were either barred from entering the Chinese market or needed to have taxable localized operations.⁷⁵

However, in recent years, as Chinese digital firms like Alibaba, Tencent, and ByteDance expanded internationally they began to develop similar interests to US digital firms in minimizing their tax liabilities overseas and utilizing offshore financial centres. Reflecting the concerns of these firms, China's position in the BEPS 2.0 project negotiations has become notably more ambiguous. While supporting efforts to forge an international deal on digital taxation, China cautioned that 'unilateral actions like levying taxes on large technology companies' should be avoided.⁷⁶ In this regard, despite drastic differences on many fronts in digital trade policy, China's position overlapped with the US negotiators' focus on preventing digital services tax on tech firms in their market countries. China was also conspicuously silent on the proposal of redistributing the taxing rights of multinational digital firms away from the home country towards the market countries, which developing countries such as India have strongly advocated for. Overall, China was willing to support negotiations for a global agreement but has stopped short of supporting more fundamental reform of global rules.

China's participation in the RCEP negotiations on digital trade

Besides global negotiations on digital trade, governments have been actively involved in the negotiation of regional free trade agreements with digital trade-related provisions. Some high-profile regional trade agreements with major digital trade-related regulations include the USMCA, the CPTPP and the RCEP. Among these agreements, the RCEP has strong significance, as it created one of the world's largest trading blocs involving both developed and developing countries.⁷⁷ The

⁷³ Rasmus Corlin Christensen, Martin Hearson and Tovony Randriamanalina, *At the table, off the menu? Assessing the participation of lower-income countries in global tax negotiations*, International Centre for Tax & Development, 2020, <https://www.ictd.ac/publication/at-table-off-menu-assessing-participation-lower-income-countries-global-tax-negotiations>; McCarthy, *A bad deal for development*.

⁷⁴ Rasmus Corlin Christensen and Martin Hearson, 'The rise of China and contestation in global tax governance', *Asia Pacific Business Review* 28: 2, 2022, pp. 165–86, <https://doi.org/10.1080/13602381.2022.2012992>.

⁷⁵ KPMG, *China tax in the digital age* (Hong Kong: KPMG, 2016), <https://assets.kpmg.com/content/dam/kpmg/pdf/2016/07/china-tax-in-the-digital-age-1.pdf>.

⁷⁶ Chen Jia, 'Global digital tax efforts get China boost', *China Daily*, 3 March 2021, <https://global.chinadaily.com.cn/a/202103/03/WS603ec861a31024adobaac421.html>.

⁷⁷ RCEP signatories include the ten ASEAN member states (Brunei Darussalam, Cambodia, Indonesia, Laos, Malaysia, Myanmar, Philippines, Singapore, Thailand and Vietnam) plus Australia, China, Japan, New

RCEP is also the only major regional trade agreement that China has signed and thereby made a commitment regarding digital trade governance.

While the proposals submitted by the parties and the draft chapters during the negotiations were supposed to be confidential, a leaked draft terms of reference on an RCEP e-commerce chapter,⁷⁸ dated February 2015, showed that there was no uniform agreement among the negotiating parties.⁷⁹ The e-commerce text tabled and promoted by developed countries such as Australia, Japan and New Zealand largely mirrored the CPTPP, incorporating elements such as prohibiting requirements concerning the location of computing facilities and the disclosure of source code, and allowing the cross-border transfer of data.⁸⁰ Meanwhile, China, India and members of the Association of Southeast Asian Nations (ASEAN)—notably Indonesia and Vietnam—have domestic regulations on data localization directly countering their proposal. Further, Australia and Japan proposed making permanent the moratorium on customs duties on digital transmissions.⁸¹ As noted earlier, the extension of the moratorium had already encountered opposition from India and other developing countries at the WTO, while China favoured the extension. Still, concessions were made as countries tried to reach an agreement. For instance, India initially blocked the e-commerce chapter due to its prohibition of data localization, but ultimately allowed the chapter to go through. Due to pressure from Japan, India also relaxed its foreign direct investment restrictions on e-commerce, which previously did not allow for 100 per cent foreign ownership.⁸²

The resultant provisions on digital trade reflected the desire among RCEP members to seek common ground. As RCEP was an ASEAN-driven initiative to harmonize trade with major partner economies, the provisions largely mirror the ASEAN Agreement on Electronic Commerce, with additional provisions as agreed in other ASEAN preferential trade agreements.⁸³ There was a strong focus on cutting the barriers to e-commerce and creating a supportive policy environment, with development-oriented provisions and a five-year grace period being granted to the LDCs.

The resultant agreement also largely reaffirmed China's policy preferences. Members agreed not to impose customs duties on electronic transmissions—but

Zealand and South Korea, representing approximately 30 per cent of global GDP. India was originally a party to the negotiation but withdrew in 2019, while the remaining RCEP parties offered India an expedited track to negotiate to accede after the deal's entry into force.

⁷⁸ Working Group on Electronic Commerce, Regional Comprehensive Economic Partnership, *Cover note: terms of reference*, 2015, https://www.bilaterals.org/IMG/pdf/ecommerce_draft_terms_of_reference.pdf.

⁷⁹ Rahul Nath Choudhury, 'Are free trade deals expanding a digital divide?', Lowy Institute, 18 Oct. 2019, <https://www.lowyinstitute.org/the-interpreter/are-free-trade-deals-expanding-digital-divide>.

⁸⁰ Eva Novi Karina, 'The risk of e-commerce provisions in the RCEP', *The Diplomat*, 4 April 2019, <https://thediplomat.com/2019/04/the-risk-of-e-commerce-provisions-in-the-rcep>.

⁸¹ Jyoti Panday, 'RCEP discussions on ecommerce: gathering steam in Hyderabad', Electronic Frontier Foundation, 24 July 2017, <https://www.eff.org/deeplinks/2017/07/rcep-discussions-ecommerce-gathering-steam-hyderabad>.

⁸² 'Ecommerce companies, get ready for strict consumer protection and data security norms in the wake of RCEP talks', IndianOnlineSeller.com, 24 March 2021, <https://indianonlineseller.com/2015/09/ecommerce-companies-get-ready-for-strict-consumer-protection-and-data-security-norms-in-the-wake-of-rcep-talks>.

⁸³ So Umezaki, 'E-commerce provisions in the Regional Comprehensive Economic Partnership: a milestone for a global rule?', Institute of Developing Economies, Japan External Trade Organization (JETRO), Aug. 2022, https://www.ide.go.jp/English/ResearchColumns/Columns/2022/so_umezaki.html.

not permanently, as Japan and Australia had hoped—and to retain the right to alter their commitments in accordance with the outcomes of the WTO Work Programme on electronic commerce,⁸⁴ leading to a de facto extension of the moratorium unless future decisions at the WTO allow for adjustment. On the issue of the mandatory disclosure of source code, RCEP does not have a provision, and only recommends consideration of emerging issues on source code through dialogue.

On the issue of data localization, RCEP does contain prohibitions against requirements for localized computing facilities and data, this marking the first occasion on which China made a commitment to binding prohibitions. However, the agreement does not apply to government procurement, government information and electronic service delivery, resulting in a more limited scope of coverage and far less demand compared to the provisions of the CPTPP.⁸⁵ Members can impose their own requirements for essential national security interests and legitimate public policy objectives, provided that such measures apply equally to domestic and foreign businesses. Importantly, the whole e-commerce chapter is stipulated out of the scope of the dispute-settlement mechanism, meaning that once a party decides to adopt or maintain any measure deemed necessary for its essential security interests, other parties are prevented from initiating a dispute. Therefore, regardless of the textual language of the provisions, China's stringent data localization regulations will largely be unchallenged. In this regard, the RCEP provisions, like most South–South agreements,⁸⁶ contain 'soft' language instead of enforceable binding rules, consistent with China's and other developing countries' demand for national policy autonomy. The RCEP allows for members like Vietnam to impose or continue domestic data localization requirements, and for India to join the RCEP—if it decides to in the future—without significantly altering its data localization requirements.

Conclusion

China has played an increasingly prominent role in global governance, and the nascent area of digital trade is no different. While existing literature on digital trade governance focuses on the divergence between China and advanced economies such as the United States and the EU,⁸⁷ this study highlights China's strategic ambivalence towards global digital trade governance, which seeks to enhance China's status and ability to influence global rule-making, on the one hand, and demonstrate its solidarity with global South countries on the other. This approach reflects China's dual identity as both a major digital economy aiming for global

⁸⁴ Eunjung Oh, 'Digital trade regulation in the Asia-Pacific: where does it stand? Comparing the RCEP E-commerce chapter with the CPTPP and the JSI', *Legal Issues of Economic Integration* 48: 4, 2021, pp. 403–30, <https://doi.org/10.54648/leie2021032>.

⁸⁵ Jean-Marc F. Blanchard and Wei Liang, 'Reassessing RCEP's implications for digital trade and e-commerce', *The Diplomat*, 4 May 2022, <https://thediplomat.com/2022/05/reassessing-rceps-implications-for-digital-trade-and-e-commerce>.

⁸⁶ Banga et al., *Digital trade provision in the AfCFTA*.

⁸⁷ Gao, 'Digital or trade?'; Azmeh et al., 'The international trade regime and the quest for free digital trade'.

competitiveness and a self-proclaimed developing country. Such a dual identity has led China to adopt a pragmatic, issue-based approach towards negotiations in order to preserve digital sovereignty and domestic policy autonomy, while at the same time promoting the global expansion of Chinese tech giants, resulting in considerable fluidity in its alignment with other countries. In all three sets of negotiations, China has rhetorically positioned itself as championing the interests of the developing world and has highlighted in principle both security and development as key considerations in digital trade governance. Due to the convergence of interests in upholding domestic policy space against the advanced economies' liberalization agenda, China has taken a similar stance to developing countries on issues such as data localization, mandatory source code disclosure and technology transfer. However, in contrast to developing countries such as India and South Africa, China has shown less resistance against the negotiation of legally binding trade rules through plurilateral negotiations initiated by the advanced economies, such as the WTO JSI initiative and the G20's Osaka Track. With the expansion of China's digital economy and its digital firms, China's interests in promoting its digital sector have also led to increasing divergence of interests with other developing countries on issues such as the e-commerce customs duties moratorium and cross-border taxation of digital firms. Paradoxically, such domestic impetus has led China's preferences on these issues to be more aligned with developed countries such as the US.

Our study has important implications for the debate over whether China is a status quo or revisionist power in global economic governance.⁸⁸ Compared to India, South Africa and the LDCs that have adopted a more adamant and confrontational stance towards plurilateral negotiations and the US-led digital agenda, China's position has become less resistant, reflecting its evolving interest and aspiration to influence global rule-making. Paradoxically, at the same time that its self-proclaimed solidarity and strong linkages with developing countries show growing signs of strain, China's evolving domestic interests⁸⁹ also enabled agreement of convenience with developed countries, notably the United States, on some key issues, in spite of significant differences in domestic regulatory approaches. In contrast to dominant narratives depicting China and the US as locked in conflict in cyberspace,⁹⁰ the study suggests that China's evolving domestic interests may provide the basis for both competition and cooperation. Overall, our finding that

⁸⁸ Lina Liu, 'Beyond the status quo and revisionism: an analysis of the role of China and the approaches of China's Belt and Road Initiative (BRI) to the global order', *Asian Journal of Political Science* 29: 1, 2020, pp. 88–109, <https://doi.org/10.1080/02185377.2020.1837193>; Jue Wang and Michael Sampson, *China's approach to global economic governance from the WTO to the AIIB*, Chatham House briefing (London: Royal Institute of International Affairs, 2021), <https://www.chathamhouse.org/2021/12/chinas-approach-global-economic-governance>; Taylor and Cheng, 'China as a "rising power"'.

⁸⁹ Jinghan Zeng, Tim Stevens and Yaru Chen, 'China's solution to global cyber governance: unpacking the domestic discourse of "internet sovereignty"', *Politics & Policy* 45: 3, 2017, pp. 432–64, <https://doi.org/10.1111/polp.12202>. As Zeng et al. point out, diverging domestic ideas have led the Chinese domestic discourse over internet sovereignty to be fragmented and underdeveloped, impeding China's ability to provide alternative norms in global internet governance.

⁹⁰ Jon R. Lindsay, 'The impact of China on cybersecurity: fiction and friction', *International Security* 39: 3, 2015, pp. 7–47, https://doi.org/10.1162/ISEC_a_00189.

China has been engaged in strategic and pragmatic engagement with existing government frameworks that leaves its interests largely intact cautions against the view that it is capable of mounting fundamental challenges to the global economic order in a way that benefits other developing countries.

While China's embracing of digital sovereignty based on security and development interests has laid common ground between it and other developing economies in digital trade negotiations, our study points to emerging frictions between their interests and positions. How and whether countries may realize the goals of digital sovereignty in development has been the subject of recent scholarly analysis.⁹¹ For instance, Matthew Erie and Thomas Streinz argue that developing countries' demand for Chinese-built digital infrastructures and their efforts to emulate China's approach to data governance, along with Chinese development initiatives like the Digital Silk Road, may have generated a 'Beijing effect' for China to expand its influence in transnational data governance, making 'data sovereignty' illusory for the host countries without proper legal infrastructures.⁹² Our study further shows that while developing countries agree on upholding national autonomy, consensus-building becomes difficult when some states worry about their limited domestic regulations and capacity to implement new binding rules, and when Chinese positions could potentially threaten other states' interests to expand state revenues and develop home-grown industries. The rising frictions further dim the prospect that countries can effectively pursue a common development-oriented agenda that leads to a fundamental reshaping of global rules.

Despite the article's focus on digital trade governance, it has implications for understanding China's role in other areas of global governance. The findings add credence to emergent literature⁹³ emphasizing how a power shift in the global economy leads to increasing fragmentation of developing country coalitions in multilateral trade negotiations. Our study suggests that China's dual identity and pragmatic attitude towards negotiations have led it to selectively engage the agendas in global digital trade governance regimes to promote its own interests. This echoes other studies⁹⁴ showing that emerging economies such as India and Indonesia have strategically and selectively participated in trade negotiations in a way that promotes their core interests. Admittedly, negotiations over digital trade rules differ from other trade negotiations, in that they involve not only the negotiation of trade issues but also those pertaining to internet governance. Unlike traditional trade issues such as agriculture, governments and stakeholders can also deliberate issues of internet governance outside of trade regimes, such as

⁹¹ Jakob Edler, Knut Blind, Henning Kroll and Torben Schubert, 'Technology sovereignty as an emerging frame for innovation policy. Defining rationales, ends and means', *Research Policy*, 52: 6, 2023, <https://doi.org/10.1016/j.respol.2023.104765>.

⁹² Matthew S. Erie and Thomas Streinz, 'The Beijing effect: China's 'Digital Silk Road' as transnational data governance', *New York University Journal of International Law and Politics* 54: 1, 2021, pp.1–91, https://www.nyujilp.org/wp-content/uploads/2022/02/NYUJILP_Vol54.1_Erie_Streinz_1-91.pdf.

⁹³ Hopewell, 'How China lost its wolf pack'; Liang and Zeng, 'China and the BRICS in WTO e-commerce and fisheries negotiations'; Schöfer and Weinhardt, 'Developing-country status at the WTO'.

⁹⁴ Gregory P. Corning, 'ASEAN and the regime complex for digital trade in the Asia-Pacific', *Journal of World Trade* 56: 6, 2022, pp. 915–38, <https://doi.org/10.54648/trad2022038>; Karthik Nachiappan, *Does India negotiate?* (Oxford: Oxford University Press, 2019).

through the UN institutions. The constellation of domestic interests underlying negotiations over digital vs non-digital trade issues may also differ depending on the specific cases under consideration. Despite these differences, our study shows negotiations over digital trade rules may have demonstrated somewhat similar power dynamics and points to increasing fissures among developing countries as an important source of impasse in negotiations.

This study additionally has practical implications for policy-making. As this article illustrates, significant differences in negotiation approaches—not only between developed and developing countries, but also among large emerging economies and LDCs—have rendered the prospect of negotiating global rules on digital trade highly uncertain. Governments increasingly seek to address their main concerns outside the WTO through preferential and regional trade agreements that either involve countries with closer ties that may be more compatible in terms of commitments or contain ‘softer’ language instead of legally binding rules. The resistance encountered by the JSI has prompted discussions about whether to negotiate future agreements within the WTO or through regional trade agreements. Both options will pose challenges, raising questions about the legitimacy of the process or consistency with existing WTO rules.⁹⁵ The findings thus illuminate ongoing discussions about whether plurilateral negotiations are viable venues for trade negotiations, and how developing countries could balance domestic policy interests for digital development against the demand of international trade negotiations, in addition to managing the differences in their interests and positions, to push for inclusive digital trade.

⁹⁵ Chris Foster, ‘A first look at the WTO/JSI discussions on digital trade’, Digital Trade Tracker, 16 March 2021, <https://digitaltradetracker.org/2021/03/16/a-first-look-at-the-wto-jsi-discussions-on-digital-trade>.